tion, and such was the skill of India's artisans and craftsmen, **that** they could compete successfully even with the higher tech-

niques of production which were being established in England. When the big machine age began in England, Indian goods continued to pour in and had to be stopped by very heavy duties and, in some cases, by outright prohibitions.

Clive described Murshidabad, in Bengal, in 1757, the very year of Plassey, as a city 'as extensive, populous, and rich as the city of London, with the difference that there are individuals in the first possessing infinitely greater property than in the last.' The city of Dacca, in eastern Bengal, was famous for its fine muslins. These two cities, important as they were, were near the periphery of Hindustan. All over the vast land there were greater cities and large numbers of big manufacturing and trading centres, and a very rapid and ingenious system of communicating news and market prices had been evolved. The great business houses often received news, even of the wars that were going on, long before despatches reached the officials of the East India Company. The economy of India had thus advanced to as high a stage as it